

A

A NEW FINANCIAL year has begun, but for India's retail equity investors, it hardly feels like a fresh start. The portfolios they have carried into FY27 are under pressure, and the factors that created that stress are far from fading.

The Nifty 50 fell 5.1% in FY26, its weakest annual performance since FY20. It was the worst performer among 15 major global indices. For retail investors, who aggressively embraced equities during the post-pandemic rally, the disappointment was even more pronounced—the Nifty's two-year compound annual growth rate was a negligible 0.01%.

The growing participation of domestic investors has amplified the impact. Household ownership of listed equities rose from 13% in 2015 to 20% on December 2025. As FY27 unfolds, the question is—what should investors do next?

PORTFOLIOS HIT

Even before tensions between US-Israel and Iran unsettled global markets, Indian equities were grappling with stretched valuations, uneven earnings growth, weak domestic demand, and uncertainty around US trade policy.

The hike in securities transaction tax (STT) on derivatives also dampened sentiment.

India's vulnerability to global shocks is amplified by its high dependence—around 85%—on crude oil imports. Brent crude surged to \$118.3 per barrel at the end of March amid the war, well above its one-year average of \$68.7.

Elevated crude prices are squeezing corporate margins. Sectors dependent on crude-linked inputs such as paints, packaging, and logistics are facing cost pressures amid subdued demand. Aviation, ceramic tiles, oil marketing companies, and gas utilities remain particularly vulnerable.

“Rising oil prices are like *‘rahu kaal’* for our economy,” says Nilesh Shah, MD & CEO, Kotak AMC. “They push up inflation, widen the current account deficit, weaken the rupee, and compress corporate profitability. While our macro fundamentals remain strong, they have certainly deteriorated due to higher oil prices.” The rupee dipped sharply from 85.6 per dollar in April 2025 to 94.65 in March 2026, triggering heavy outflow of foreign funds. Global institutions are turning cautious. Goldman Sachs has cut India's 2026 GDP growth forecast from 6.5% to 5.9%.

Despite the correction, equity valuations are not compelling. The Nifty 50's price-to-earnings ratio has eased by about 14% to around 19.9 times, but remains elevated relative to peers. The MSCI Emerging Markets Index is trading at roughly 16.6 times earnings, implying a premium of nearly 20%

despite weaker near-term earnings visibility. Mid- and small-cap stocks are trading at steep premiums of 56% and 34%, respectively, to large-caps, highlighting the risk in the broader markets.

A 'KANGAROO MARKET'

The West Asia conflict has led to a roller-coaster ride for D-street investors with markets swinging on the ever-changing statements of a few global leaders. “Normally, we see bull or bear markets. This is the first time we are seeing a ‘kangaroo market’; it moves up and down sharply,” says Shah. “Everything is driven by global events, and those events are often dictated by a handful of players,” he says.

Many investors tend to draw comfort from past crises. The sharp recoveries after the 2008 global financial crisis and the Covid-19 pandemic have created an expectation that every downturn will be followed by a quick bounce-back. However, the backdrop this time is different. “It is premature to say the worst is behind us,” says Kranthi Bathini, Director (Research), WealthMills Securities. “Geopolitical developments are evolving rapidly, and uncertainty is high.”

Elevated public debt and persistent inflation constrain fiscal and monetary support. Crude prices are likely to remain high amid geopolitical disruptions. The earnings visibility is poor. As a result, any recovery is likely to be gradual and uneven.

Foreign outflows have been another pressure point. After strong inflows in FY21 and FY24, FPIs have

THE NIFTY 50'S PRICE-TO-EARNINGS RATIO HAS EASED BY ABOUT 14% TO AROUND 19.9 TIMES BUT REMAINS ELEVATED RELATIVE TO PEERS